

complaint

Mr and Mrs Z are unhappy about Millennium Insurance Company Limited's decision to decline their home insurance claim for water damage.

background

Mr and Mrs Z made a claim under their policy following damage to their property. Mr and Mrs Z felt that the damage was caused by heavy rainfall. Millennium appointed loss adjusters to inspect the damage and validate the claim. After review the loss adjusters declined the claim as it did not find any evidence of storm conditions on or around the time of the damage. Therefore, Millennium felt that damage had not been caused by an insured event. Mr and Mrs Z remained unhappy and brought a complaint to this service.

Our adjudicator upheld the complaint. She accepted there were no storm conditions on the date the claim was made. However, she noted that Mr and Mrs Z had accidental damage cover included as part of their policy at the time of their claim. Our adjudicator felt that the internal damage was covered under the policy wording as the damage was *"unintended and unanticipated"*.

Millennium did not accept this. It said that if damage occurred due to a storm, this must have occurred prior to the start of the policy. It also stated that if the roof damage was not due to a storm, then it would be considered a maintenance issue. Millennium requested the complaint be passed to an ombudsman for a final decision.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Even though there is plenty of comment about damage to the roof and whether it was caused by storm or not I have noted that Mr and Mrs Z were very clear in their original letter to this service. They stated that their claim was for *"internal damage to the ceiling in my spare room and water damage to my floor"*. Therefore, this is what I will focus on.

From the details I have seen this policy does not specifically define accidental damage cover. Therefore, I have reviewed the specific exclusions that apply to this section of the policy and none of them seem to refer to the circumstances of this claim.

What is clear from records is that around the time of the damage there was heavy rainfall. The report from the loss adjuster says that *"the internal event would seem to be recent and we consider that the insured was not aware of the roof damage and as he has AD cover would this be considered"*. As the adjuster has confirmed that the damage is most likely recent it seems on balance in this case that the internal damage occurred while this policy was in operation.

It is clear that accidental damage cover does apply to the policy. The final response letter from the loss adjuster says the damage must result from *"a single unforeseen one off event"*. Therefore, in this case as there is no accidental damage definition damage that is unforeseen and unintentional would be covered as it is not specifically excluded. The loss adjuster had confirmed above that Mr and Mrs Z would have been unaware and only became aware following the event of water coming through their ceiling.

In conclusion, in this case, based upon the evidence it seems unreasonable for Millennium to have declined to deal with the claim for the internal damage.

Mr and Mrs Z pointed out during this complaint their personal circumstances and how the problems with the claim and the delays were affecting them. I can accept that this stressful and difficult time would have affected them. Based upon what the loss adjuster wrote it is clear to me that consideration should have been given to the internal damage from the start. In the circumstances an award of £200 as compensation for their distress and inconvenience is a reasonable outcome.

my final decision

I uphold this complaint.

I require Millennium Insurance Company Limited to:

- deal with the claim for internal damage
- add 8% simple interest per annum to any cash payment, from the date of loss to the date of settlement, less any tax properly deductible
- pay £200 compensation for distress and inconvenience

I make no other award against Millennium Insurance Company Limited.

John Quinlan
ombudsman